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|--------------------------|--|----------|--------------------|--|
| Chapter 13, Problem 2SPA |  | Bookmark | Show all steps: ON |  |
|--------------------------|--|----------|--------------------|--|

Step-by-step solution

Step 1 of 5

a.

The table representing the calculation for data is as follows:

| Price<br>(Dollars Per Bottle)<br>(P) | Quantity<br>(Bottles Per Hour)<br>(Q) | Total Cost<br>(Dollars Per Hour) | Total Revenue<br>(Dollar Per Hour)<br>( $P \times Q$ ) | Marginal Revenue<br>(Dollar Per Hour)<br>( $TR_n - TR_{n-1}$ ) |
|--------------------------------------|---------------------------------------|----------------------------------|--------------------------------------------------------|----------------------------------------------------------------|
| 10                                   | 0                                     | 1                                | 0                                                      | -                                                              |
| 8                                    | 1                                     | 3                                | 8                                                      | 8                                                              |
| 6                                    | 2                                     | 7                                | 12                                                     | 4                                                              |
| 4                                    | 3                                     | 13                               | 12                                                     | 0                                                              |
| 2                                    | 4                                     | 21                               | 8                                                      | -4                                                             |
| 0                                    | 5                                     | 31                               | 0                                                      | -8                                                             |

Comment

Step 2 of 5

In order to calculate marginal revenue, total revenue has to be calculated first and is calculated by multiply price and quantity. Total revenue in the form of formula is as follows:

Total Revenue = Price  $\times$  Quantity

Formula for Marginal Revenue is as follows:

Marginal Revenue =  $\frac{TR_2 - TR_1}{Q_2 - Q_1}$

In the same manner marginal revenue is calculated at the first unit of output.

Comment

Step 3 of 5

Calculate the total revenue at the quantity of 2 units:

$TR = (P \times Q)$   
 $= \$6 \times 2$   
 $= \$12$

Calculation of MR at quantity of 2 units:

$MR = (TR_n - TR_{n-1})$   
 $= \$12 - \$8$   
 $= \$4$

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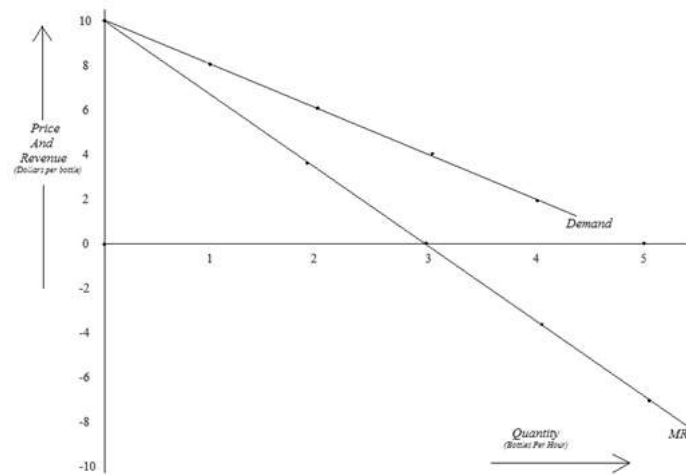


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Step 4 of 5

Graph representing the curves for demand and marginal revenue is as follows:



[Comment](#)

Step 5 of 5

b.

When prices are lower in order to sell more unit of outputs, two factors make impact on the total revenue and that affect the marginal revenue.

Minnie's marginal revenue is less than her price because to sell an additional unit of output, Minnie must lower her price on all units sold.

Thus, when Minnie sells an additional unit of output, her revenue consists of the price she receives for this extra unit minus what she loses on all previous units she sells because of the new, lower price.

For example moving from 1 unit to 2 units, the price comes to 6 dollars in this regard she gets \$6 as gain on the second unit but now she gets \$6 on each of the unit of bottles compared to \$8 on the first unit. Result of the phenomena is the loss of \$2 on the first unit of bottle.

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### Chapter 13, Solution 14APA

Hot Air Balloon Rides is a single monopoly. Its profit maximizing output will be determined at the point where the marginal...

[See solution](#)

### Chapter 13, Solution 21APA

a) AT&T is pioneer in the telecommunications market. Earlier it was following the unlimited data usage plan at \$30 a month. The...

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|--|--------------------------|--|----------|--------------------|--|
|  | Chapter 13, Problem 3SPA |  | Bookmark | Show all steps: ON |  |
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Step-by-step solution

Step 1 of 3

The table representing the calculation for data is as follows:

| Price<br>(Dollars Per Bottle) | Quantity<br>(Bottles Per Hour) | Total Cost<br>(Dollars Per Hour) | Total Revenue<br>(Dollar Per Hour) | Marginal Revenue<br>(Dollar Per Hour) |
|-------------------------------|--------------------------------|----------------------------------|------------------------------------|---------------------------------------|
| 10                            | 0                              | 1                                | 0                                  | -                                     |
| 8                             | 1                              | 3                                | 8                                  | 8                                     |
| 6                             | 2                              | 7                                | 12                                 | 4                                     |
| 5                             | 2.5                            | 10                               | 12.5                               | 1                                     |
| 4                             | 3                              | 13                               | 12                                 | 0                                     |
| 2                             | 4                              | 21                               | 8                                  | -4                                    |
| 0                             | 5                              | 31                               | 0                                  | -8                                    |

In order to calculate marginal revenue, total revenue has to be calculated first and is calculated by multiply price and quantity. Total revenue in the form of formula is as follows:

Total Revenue = Price × Quantity

Formula for Marginal Revenue is as follows:

Marginal Revenue =  $\frac{TR_2 - TR_1}{Q_2 - Q_1}$

In the same manner marginal revenue is calculated at the **first unit of output**.

Comment

Step 2 of 3

a.

It can easily be seen from the above table that total revenue for 2<sup>nd</sup> unit is \$12 which is same for the 4<sup>th</sup> unit of production. in order to come to a conclusion, the quantity between 2<sup>nd</sup> unit and 3<sup>rd</sup> unit has to be found and is coming out to be 2.5 bottles.

Therefore total revenue for 2.5 bottles is coming out to be \$12.5 (by using the formula of total revenue).

The demand is said to be elastic till the point where total revenue remains positive and increase due to fall in the prices of the product.

Therefore by having the reference from the above table, decrease in price of the mineral bottle from \$10 per bottle till \$5 per bottle, marginal revenue is positive and in increasing. This between the price range from \$10 to \$5, demand for water is elastic.

Comment

Step 3 of 3

b.

The demand is said to be inelastic if total revenue does not increases as per the decrease in the prices. Many a time total revenue shows the negative results that in turn cuts the profit maximizing level.

Since production at the point where demand is inelastic and the profit maximization level is minimal or even negative, so in order to maximize the profit level 'Min' is not producing more of water bottles.

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Step-by-step solution

Step 1 of 3

The table representing the calculation for data is as follows:

| Price<br>(Dollars Per<br>Bottle) | Quantity<br>(Bottles Per<br>Hour) | Total Cost<br>(Dollars Per<br>Hour) | Marginal<br>Cost<br>(Dollars Per<br>Hour) | Total<br>Revenue<br>(Dollar Per<br>Hour) | Marginal<br>Revenue<br>(Dollar Per<br>Hour) |
|----------------------------------|-----------------------------------|-------------------------------------|-------------------------------------------|------------------------------------------|---------------------------------------------|
| 10                               | 0                                 | 1                                   |                                           | 0                                        | -                                           |
| 8                                | 1                                 | 3                                   | 2                                         | 8                                        | 8                                           |
| 7                                | 1.5                               | 5                                   |                                           | 10.50                                    |                                             |
| 6                                | 2                                 | 7                                   | 4                                         | 12                                       | 4                                           |
| 5                                | 2.5                               | 10                                  | 3                                         | 12.5                                     | 1                                           |
| 4                                | 3                                 | 13                                  | 3                                         | 12                                       | 0                                           |
| 2                                | 4                                 | 21                                  | 8                                         | 8                                        | -4                                          |
| 0                                | 5                                 | 31                                  | 10                                        | 0                                        | -8                                          |

In order to calculate marginal revenue, total revenue has to be calculated first and is calculated by multiply price and quantity. Total revenue in the form of formula is as follows:

Total Revenue = Price × Quantity

Formula for Marginal Revenue is as follows:

Marginal Revenue = (TR<sub>2</sub> - TR<sub>1</sub>) / (Q<sub>2</sub> - Q<sub>1</sub>)

In the same manner marginal revenue is calculated at the first unit of output.

Comment

Step 2 of 3

a.

Marginal cost is the increase in total cost as a result of increase in the output by 1 unit. Taking the reference of the above table, moving from 1 bottle to 2 bottles, total cost is increased by \$4 and the new cost for 2 bottles is \$12.

Therefore marginal cost is \$4 per bottle.

“The profit maximizing output level is obtained when marginal cost is equal to marginal revenue.”

Again from the above table at the quantity of 1.5 bottles the price for the quantity is \$7 per bottle. The marginal cost of increasing the production from 1 bottle to 2 bottles is \$4 per bottle (\$7 minus \$3). Hence marginal cost of 1.5 bottles is \$4 per bottle.

The marginal revenue is obtained by the increase in the selling of the product from 1 bottle to 2 bottles is \$4 (\$12 minus \$8) per bottle. Therefore by the condition of profit maximization, the output level is 1.5 bottles.

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Chapter 13, Problem 4SPA

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Step 3 of 3

b.

In order to calculate the economic profit, firstly total revenue and total cost for the quantity has to be found. Economic profit will be at the output level which maximizes the profit.

It is known that total revenue is equal to price multiplied by the quantity. Price level is \$7 and quantity is 1.5 bottles, therefore total revenue is as follows:

**Total Revenue = Price × Quantity**  
**Total Revenue = 7 × 1.5**  
**Total Revenue = \$10.50**

Since total cost of producing 1 bottle is \$3 and that is for 2 bottles is \$7, so total cost of producing 1.5 bottles is as follows:

**Total Cost of 1.5 Bottle =  $\frac{\text{Total Cost of 1 bottle} + \text{Total Cost of 2 Bottles}}{2}$**

**Total Cost of 1.5 Bottle =  $\frac{3 + 7}{2}$**

**Total Cost of 1.5 Bottle = \$5**

It is known that economic profit is equal to total revenue minus total cost, therefore total revenue is as follows:

**Economic Profit = Total Revenue - Total Cost**  
**Economic Profit = 10.50 – 5**  
**Economic Profit = \$5.50**

Therefore **economic profit is \$5.50.**

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Chapter 13, Solution 14APA

Hot Air Balloon Rides is a single monopoly. Its profit maximizing output will be determined at the point where the marginal...

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a) AT&T is pioneer in the telecommunications market. Earlier it was following the unlimited data usage plan at \$30 a month. The...

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Step-by-step solution

Step 1 of 4

Producer surplus refers to the surplus which is the difference between the amount which producers receives from the good and the least amount the producer is ready to receive for the product.

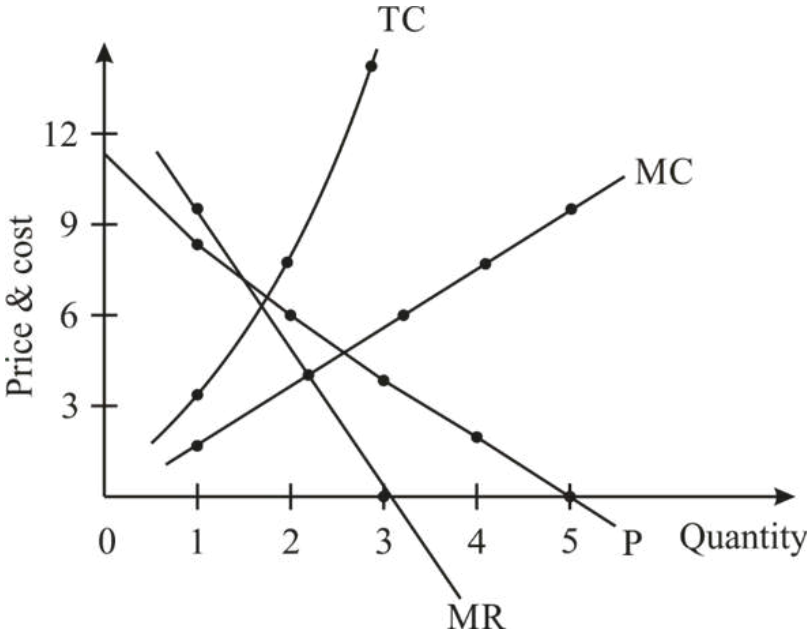
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Step 2 of 4

Given the demand schedule and total cost schedule for the Person M's mineral spring.

| P  | Q | TR | MR | TC | MC |
|----|---|----|----|----|----|
| 10 | 0 | 0  | -  | 1  | -  |
| 8  | 1 | 8  | 8  | 3  | 2  |
| 6  | 2 | 12 | 4  | 7  | 4  |
| 4  | 3 | 12 | 0  | 13 | 6  |
| 2  | 4 | 8  | -4 | 21 | 8  |
| 0  | 5 | 0  | -8 | 31 | 10 |

Diagrammatically, it can be represented as done below:



Comment

Step 3 of 4

b.

It is required to find whether person M to be an efficient producer of wheat or not. As this is the monopoly case where equilibrium arises at the point where marginal revenue equals marginal cost. From the diagram, it can be seen that when this condition occurs, quantity will be 2 units.

At quantity 2, the price will be \$6 which can be seen from the table. The efficient production level occurs where marginal revenue equals marginal cost which exists at quantity 2 units and price \$6.

Hence, the production point is efficient.

Comment

Step 4 of 4

c.

If new wells were invented and person M starts to face competition from different producers. When the new producers enter the market, the marginal cost declines. The supply for producing bottles would increase.

The profit and output earned will be shared and distributed among all the producers and which leads to fall in the profit of person M with declining share in output.

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Step-by-step solution

Step 1 of 3

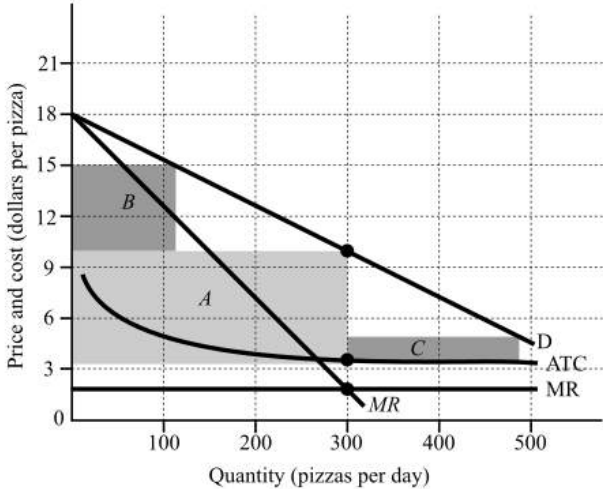
Step 2 of 3

The restaurant L, produces pizza with the marginal cost of \$2, and price is given to be \$15. It is needed to define the following questions given below:

a.

It is needed to make a larger economic profit. The restaurant L started discriminating in prices which leads to boost in the profits. When it starts to charge the second price for the second pizza, it leads to fall in along the demand curve and increase in the quantity. Discrimination can also take place by providing couple to some customers to increase the sales.

Because different customers have different choices so those having lower willingness should be given coupons to increase the sales.



In the diagram, X-axis measures the quantity of pizza whereas Y-axis measures the price and cost of pizza. Without price discrimination, the restaurant can produce 300 pizzas and sell at \$10 price. With the price discrimination, customers buy pizza at \$15 price, but others buy at \$10 per pizza.

The restaurant L sells at original price is equal to A area. But when discrimination is done, the economic profits additionally includes area B and C.

[Comment](#)

Step 3 of 3

b.

It is required to know whether the restaurant can make more economic profit or not. Yes, the restaurant can discriminate further. For example, taking the case of charging third pizza for \$4 which helps to boost up the economic profits.

After the price discrimination, a company can increase its production. So, the quantity of pizza comes nearer to the efficient quantity with price discrimination.

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Step-by-step solution

Step 1 of 6

In the case study we are given that, Calypso U.S. Pipeline is a firm that operates a natural gas distribution system in the United States. Since it is a natural monopoly, therefore it cannot discriminate. If this firm is an unregulated firm, then this means this firm is not administered by any government rules that will influence its price, quantity, entry and other aspects.

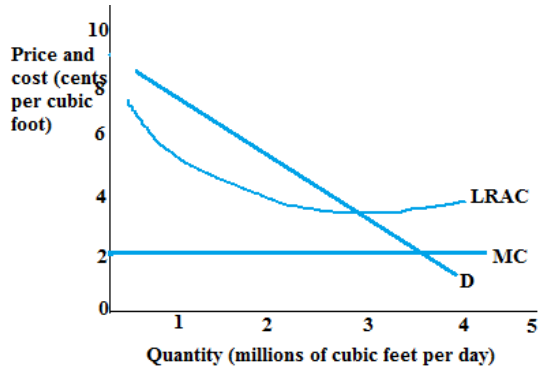
Comment

Step 2 of 6

In this case, drawing a marginal revenue curve starting from 10 cents and it will cut the MC curve at 2 cents and extend a bit further. The firm will charge the price at the quantity level where MC curve cuts the MR curve.

Comment

Step 3 of 6



Comment

Step 4 of 6

In the figure above, we see this price as 6 cents per cubic foot and the quantity at this price is 2 millions of cubic foot per day. The consumer surplus at this level is the triangular area above the price 6 cents till 10 cents. It can be calculated as 4 cents a cubic foot. Deduct 6 cents from 10 cents in the price range. It is 4 cents. Now multiply 4 cents with quantity 2 millions of cubic foot per day. It is 8 cents. Now divide it by 2. The answer is 4 cents a cubic foot.

Comment

Step 5 of 6

The producer surplus area is the rectangle from 2 cents to 4 cents and can be calculated as 8 cents a cubic foot. Deduct 2 cents from 6 cents in the price range. It is 4 cents. Now, multiply 4 cents with quantity 2 millions of cubic foot per day. The answer is 8 cents a cubic foot.

Comment

Step 6 of 6

The dead weight loss is the area below LRAC and above MC till demands curve D. it can be calculated as 4 Cents a cubic foot. Deduct 2 cents from 6 cents in the price range. It is 4 cents. Now deduct 2 cents from 4 cents in the quantity range. It is 2 millions of cubic foot. Multiply 4 cents with quantity 2 millions of cubic foot per day. It is 8 cents. Now divide it by 2. The answer is 4 cents a cubic foot.

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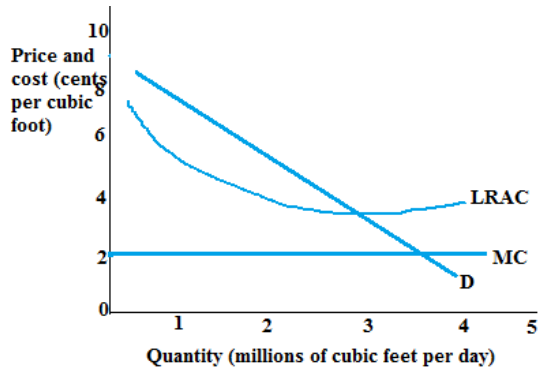
Step-by-step solution

Step 1 of 5

In the case study, we are given that Calypso U.S. Pipeline is a firm that operates a natural gas distribution system in the United States. Since it is a natural monopoly, therefore it cannot discriminate. If this firm is a regulated firm, then this means this firm is administered by government rules that will influence its price, quantity, entry and other aspects.

Comment

Step 2 of 5



Comment

Step 3 of 5

The firm here has been regulated to make zero economic profit. In this case it will charge the price at the quantity level where LRAC curve cuts the Demand Curve (D).

In the figure, we see this price as 4 cents per cubic foot and the quantity at this price is 3 millions of cubic foot per day. The consumer surplus at this level is the triangular area above the price 4 cents till 10 cents. It can be calculated as 9 cents a cubic foot. Deduct 4 cents from 10 cents in the price range. It is 6 cents. Now multiply 4 cents with quantity 3 millions of cubic foot per day. It is 18 cents. Now divide it by 2. The answer is 9 cents a cubic foot.

Comment

Step 4 of 5

The producer surplus area is the rectangle from 2 cents to 4 cents and can be calculated as 6 cents a cubic foot. Deduct 2 cents from 4 cents in the price range. It is 2 cents. Now, multiply 2 cents with quantity 3 millions of cubic foot per day. The answer is 6 cents a cubic foot.

Comment

Step 5 of 5

The dead weight loss is the area below LRAC and above MC till demands curve D. it can be calculated as 4 Cents a cubic foot. Deduct 2 cents from 4 cents in the price range. It is 2 cents. Now, deduct 3 cents from 4 cents in the quantity range. It is 1 millions of cubic foot. Multiply 2 cents with quantity 1 millions of cubic foot per day. It is 2 cents. Now divide it by 2. The answer is 1 cent a cubic foot.

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Chapter 13, Problem 9SPA

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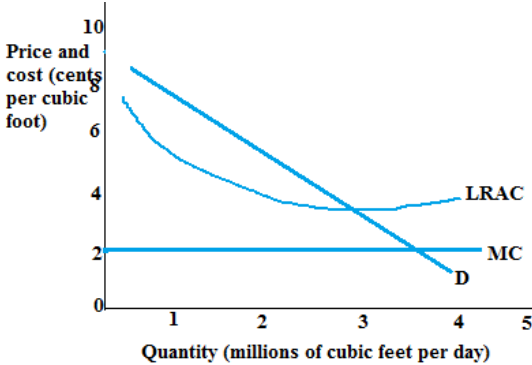
Step 1 of 3

In the case study we are given that, Calypso U.S. Pipeline is a firm that operates a natural gas distribution system in the United States. Since it is a natural monopoly, so, it cannot discriminate. If this firm is a regulated firm, then, this means that the firm is administered by government rules that will influence its price, quantity, entry and other aspects.

Here, the firm has been regulated to be efficient. So, it will charge the price at the quantity level where MC curve cuts the Demand Curve (D).

Comment

Step 2 of 3



Comment

Step 3 of 3

In the figure above, we see this price as 2 cents per cubic foot and the quantity at this price is 4 millions of cubic foot per day. The consumer surplus at this level is the triangular area above the price 2 cents till 10 cents. It can be calculated as 16 cents a cubic foot. Deduct 2 cents from 10 cents in the price range. It is 8 cents. Multiplying 8 cents with quantity 4 millions of cubic foot per day, we get 32 cents. Now, dividing it by 2, we get 16 cents a cubic foot.

Therefore, there is no producer surplus since price is equal to marginal cost and there is no dead weight loss since the firm has been regulated to produce efficient quantity.

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## Step-by-step solution

### Step 1 of 1

The monopoly might arise in the case of second, sixth and seventh case:

- A single firm, protected by a barrier to entry, produces a personal service that has no close substitutes.
- The government issues Nike an exclusive license to produce golf balls.
- A firm experiences economies of scale even when it produces the quantity that meets the entire market demand.

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Step-by-step solution

Step 1 of 1

As per the case study, we tabulate below the various types of monopolies and their possibility of price discrimination:

| Case Study                                                                                                | Type of Monopoly                                           | Possibility of Price Discrimination                                                                                                                                                                                            |
|-----------------------------------------------------------------------------------------------------------|------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Coca- Cola cuts its price below that of Pepsi Cola in an attempt to increase the market share             |                                                            | Price discrimination is not possible as this is the case of competition between two firms. The two drinks are close substitutes of one another. Moreover, the target market is general. There are no specific customer groups. |
| A single firm, protected by a barrier to entry, produces a personal service that has no close substitutes | Natural or Legal since no specific barrier has been stated | Possible                                                                                                                                                                                                                       |
| A barrier to entry exists, but the good has some close substitutes                                        | Natural or Legal                                           | Price discrimination is not possible as this is the case of competition between two firms. The two drinks are close substitutes of one another.                                                                                |
| A firm offers discounts to students and seniors                                                           |                                                            | Price Discrimination already presents in the form of discounts to specific customer groups.                                                                                                                                    |
| A firm can sell any quantity it chooses at the going price                                                |                                                            | Price discrimination is not possible as the firm has already fixed the price. It is a perfectly competitive firm.                                                                                                              |
| The government issues Nike an exclusive license to produce golf balls                                     | Legal                                                      | Possible                                                                                                                                                                                                                       |
| A firm experiences economies of scale even when it produces the quantity meets the entire market demand   | Natural                                                    | Possible                                                                                                                                                                                                                       |

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Step-by-step solution

Step 1 of 2

Hot Air Balloon Rides is a single-price monopoly. Below we construct its total revenue and marginal revenue schedule with the help of price, demand and cost data:

| Price<br>(dollars per ride) | Quantity Demanded<br>(rides per month) | Total Cost<br>(dollars per month) | Total Revenue<br>(dollars) | Marginal Revenue<br>(dollars) |
|-----------------------------|----------------------------------------|-----------------------------------|----------------------------|-------------------------------|
| 220                         | 0                                      | 80                                | 0                          | -                             |
| 200                         | 1                                      | 160                               | 200                        | 200                           |
| 180                         | 2                                      | 260                               | 360                        | 160                           |
| 160                         | 3                                      | 380                               | 480                        | 120                           |
| 140                         | 4                                      | 520                               | 560                        | 80                            |
| 120                         | 5                                      | 680                               | 600                        | 40                            |

Comment

Step 2 of 2

Steps of Construction:

1. The table has been constructed in MS-Word.
2. Use the Insert Table option and select the rows and columns as per the data.
3. Total revenue has been calculated by multiplying price with quantity demanded.
4. Marginal revenue has been calculated by subtracting the preceding value from the succeeding value. For example: the value 200 in marginal revenue column has been calculated by subtracting 0 from 200.

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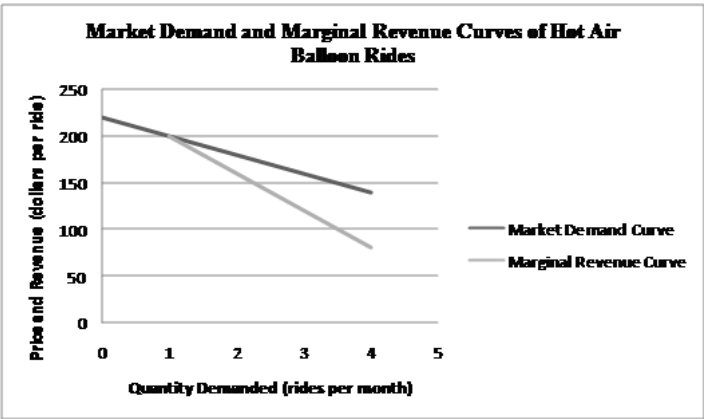
Step 1 of 3

Hot Air Balloon Rides is a single-price monopoly. Let us construct its market demand curve and marginal revenue curve with the help of price, demand and revenue data:

| Price<br>(dollars per ride) | Quantity Demanded<br>(rides per month) | Marginal Revenue<br>(dollars) |
|-----------------------------|----------------------------------------|-------------------------------|
| 220                         | 0                                      | -                             |
| 200                         | 1                                      | 200                           |
| 180                         | 2                                      | 160                           |
| 160                         | 3                                      | 120                           |
| 140                         | 4                                      | 80                            |
| 120                         | 5                                      | 40                            |

Comment

Step 2 of 3



Comment

Step 3 of 3

- Steps of Construction:
1. The graph has been drawn in MS-Excel with the help of data on quantity demanded (on X-axis) price (on Y-axis) and revenue (on Y-axis).
  2. Select insert option, then select chart types and click on scatter diagram with smoothed lines.
  3. The graph will appear on the screen.
  4. Format the graph with the help of chart tools.

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# Economics | (12th Edition)

Chapter 13, Problem 14APA

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## Step-by-step solution

### Step 1 of 8

Hot Air Balloon Rides is a single monopoly. Its profit maximizing output will be determined at the point where the marginal revenue equals marginal cost. The price at this level would be higher than this revenue and cost. We construct below a table and graph using the data on price, quantity demanded, costs, and revenue.

Comment

### Step 2 of 8

| Price (dollars per ride) | Quantity Demanded (rides per month) | Total Cost (dollars per month) | Total Revenue (dollars) | Marginal Revenue (dollars) | Average Total Cost (dollars) | Marginal Cost (dollars) |
|--------------------------|-------------------------------------|--------------------------------|-------------------------|----------------------------|------------------------------|-------------------------|
| 220                      | 0                                   | 80                             | 0                       | -                          | -                            | -                       |
| 200                      | 1                                   | 160                            | 200                     | 200                        | 160                          | 80                      |
| 180                      | 2                                   | 260                            | 360                     | 160                        | 130                          | 100                     |
| 160                      | 3                                   | 380                            | 480                     | 120                        | 126.6                        | 120                     |
| 140                      | 4                                   | 520                            | 560                     | 80                         | 130                          | 140                     |
| 120                      | 5                                   | 680                            | 600                     | 40                         | 136                          | 160                     |

Comment

### Step 3 of 8

- Steps of Construction:
- The table has been drawn in MS-Word.
  - Select Insert table option from the tools bar and then select the table rows and columns as per the data given.
  - The total revenue has been calculated by multiplying price with quantity demanded.
  - Average total cost has been calculated by dividing total cost with quantity demanded.
  - Both marginal cost and marginal revenue have been calculated by subtracting preceding value of respective total costs and total revenues from their respective succeeding values of total costs and total revenues.

Comment

### Step 4 of 8

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## Step-by-step solution

### Step 1 of 7

Hot Air's Balloon is a single price monopoly whose profit maximizing output is 3 rides per month and the price at this output is 160 dollars. However, if the government imposes a sales tax of 30 dollars on its ride, then, it will increase the marginal cost of the rides by 30dollars. Due to this effect, we notice the changes in the table:

[Comment](#)

### Step 2 of 7

| Price (dollars per ride) | Quantity Demanded (rides per month) | Marginal Revenue (dollars) | Marginal Cost (dollars)<br>(values increase by 30 dollars) |
|--------------------------|-------------------------------------|----------------------------|------------------------------------------------------------|
| 220                      | 0                                   | -                          | -                                                          |
| 200                      | 1                                   | 200                        | 110                                                        |
| 180                      | 2                                   | 160                        | 130                                                        |
| 160                      | 3                                   | 120                        | 150                                                        |
| 140                      | 4                                   | 80                         | 170                                                        |
| 120                      | 5                                   | 40                         | 190                                                        |

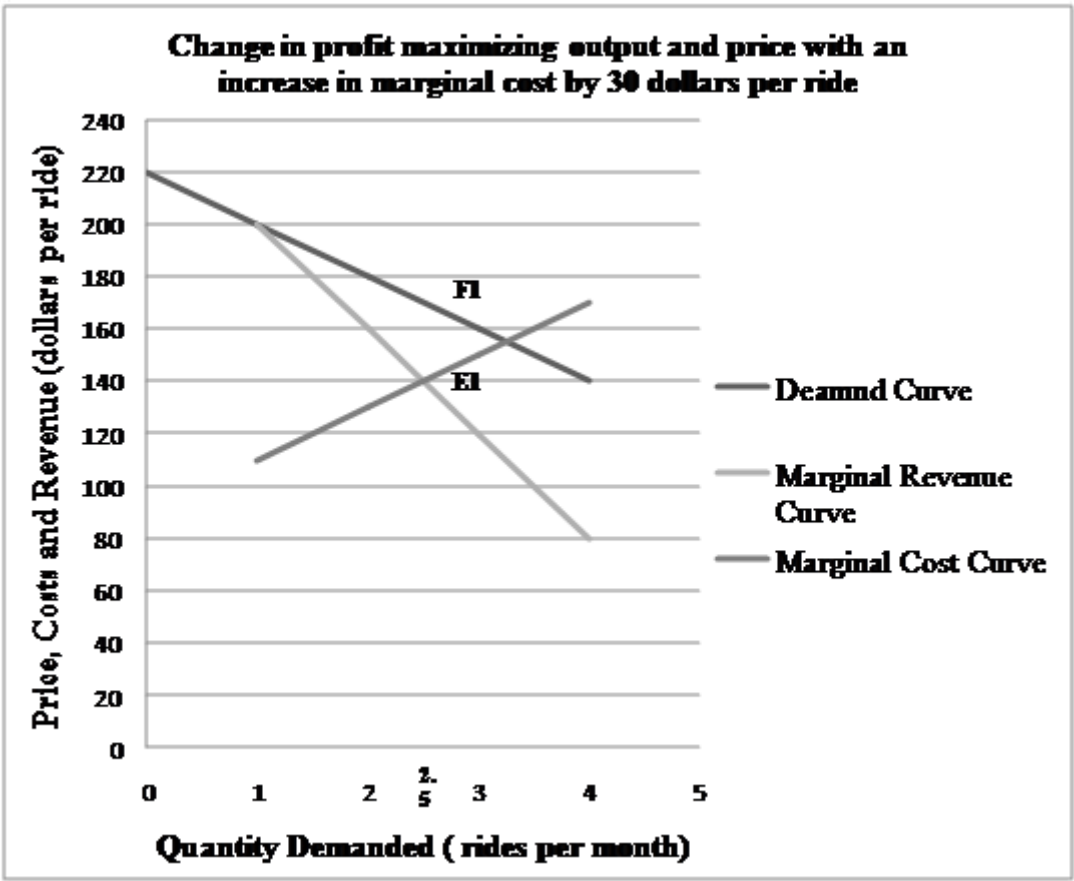
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### Step 3 of 7

- Steps of Construction:
1. The table has been drawn in MS-Word.
  2. Select Insert table option from the tools bar and then select the table rows and columns as per the data given.
  3. Both marginal cost and marginal revenue have been calculated by subtracting preceding value of respective total costs and total revenues from their respective succeeding values of total costs and total revenues.

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### Step 4 of 7



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### Step 5 of 7

Steps of Construction:

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Chapter 13, Problem 16APA

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3. Format and label the chart as per the requirement of the data using chart tools.

Comment

Step 6 of 7

In the above graph, we notice that the marginal cost curve has risen by 30 dollars at each level of ride. The new equilibrium of marginal cost cutting marginal revenue curve is set at E1. At this point, the quantity demanded of rides goes down to 2.5 levels from 3<sup>rd</sup> level and the price has risen to 170 dollars per ride from 160 dollars per ride.

Comment

Step 7 of 7

The economic profit is calculated as the difference between total revenue and total costs. The total revenue is the multiplication of equilibrium price and quantity that is 170 multiplied by 2.5, which is equal to 425 dollars per ride. The total cost is the multiplication of marginal cost at profit maximizing output and the output itself that is, 140 multiplied by 2.5 which is 350 dollars per ride.

Thus, the economic profit is the difference between 425 and 350 i.e. 75 dollars per ride. It has also come down from 120 dollars per ride to 75 dollars per ride.

Comment

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Chapter 13, Solution 14APA

Hot Air Balloon Rides is a single monopoly. Its profit maximizing output will be determined at the point where the marginal...

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Chapter 13, Solution 21APA

a) AT&T is pioneer in the telecommunications market. Earlier it was following the unlimited data usage plan at \$30 a month. The...

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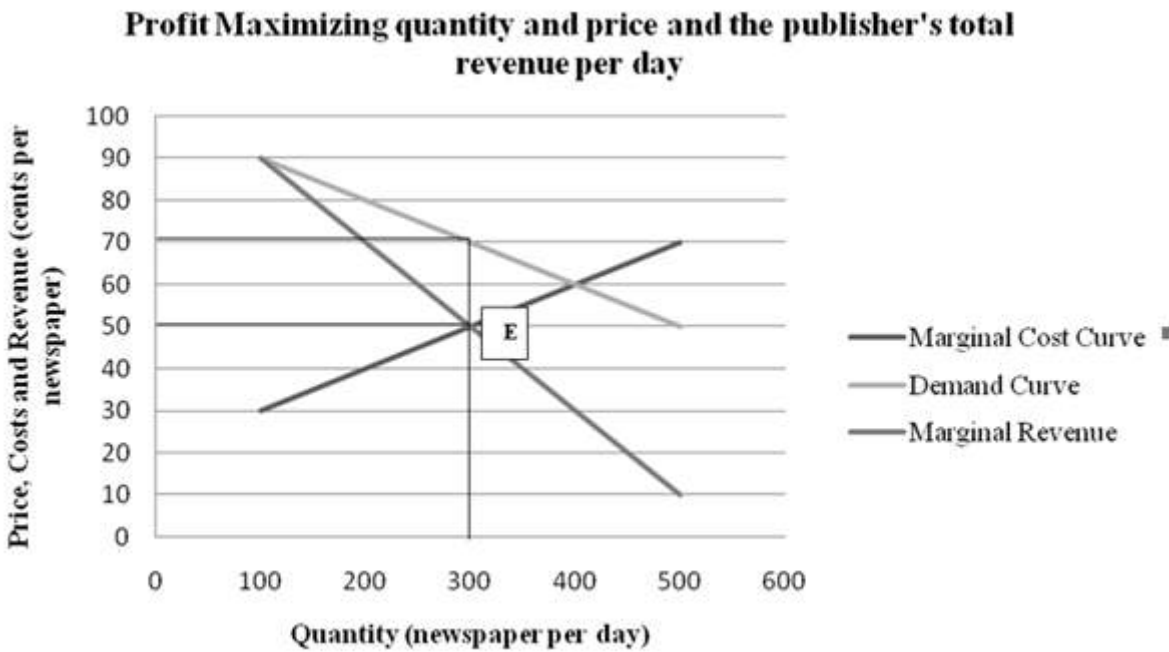
## Step-by-step solution

### Step 1 of 4

a) The publisher of the only newspaper containing local news in an isolated community faces a demand and cost graph. Let us depict the publisher's profit maximizing quantity and price and his total revenue per day in the graph:

Comment

### Step 2 of 4



Steps of Construction:

1. The above graph has been drawn in MS-Excel. In the word document, click on insert chart option. Then click on scatter diagram. Then select scatter diagram with smoothed lines options.
2. The chart and excel sheet will open. Insert the data for which you require the diagram. Write quantity demanded on X-axis and the data related to cost, revenue and price on the Y-axis.
3. Format and label the chart as per the requirement of the data using chart tools.
4. The marginal revenue curve has been drawn in the excel sheet using the data of demand and quantity to get total revenue. Then marginal revenue was calculated from total revenue. The values of marginal revenue were converted into cents values to bring uniformity of values in the graph.

Alternativity, marginal cost is half of demand curve in monopoly.

Comment

### Step 3 of 4

In the graph we see that, the marginal cost curve cuts the marginal revenue curve at point E. At this point **the profit maximizing quantity is 300 newspapers per day** and the **price is 70 cents per newspaper**.

Thus, the total revenue is the multiplication of the output with price that is, 300 multiplied by 70 which is 2100 cents per day per newspaper.

Comment

### Step 4 of 4

b) The demand for the newspaper at this point is elastic. This so because the mid-point of the demand curve is 50 cents. Along this straight-line demand curve, the values above 50 cents represent elastic demand and below this level is inelastic demand.

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### Chapter 13, Solution 14APA

Hot Air Balloon Rides is a single monopoly. Its profit maximizing output will be determined at the point where the marginal...

[See solution](#)

### Chapter 13, Solution 21APA

a) AT&T is pioneer in the telecommunications market. Earlier it was following the unlimited data usage plan at \$30 a month. The...

[See solution](#)



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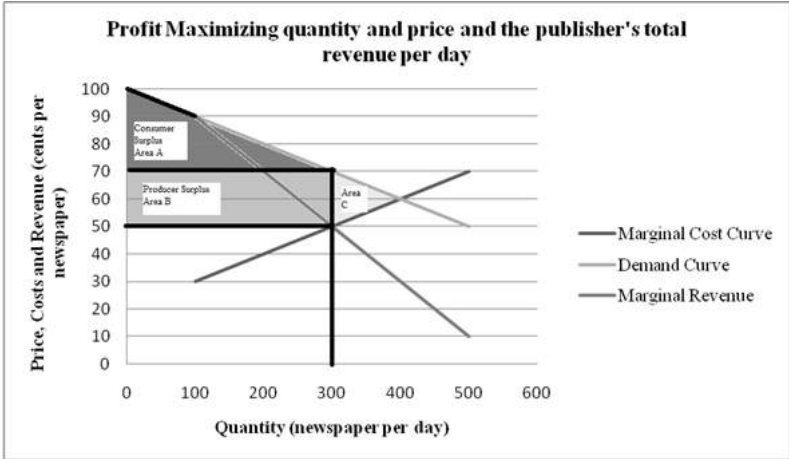
## Step-by-step solution

### Step 1 of 3

The publisher of the only newspaper containing local news in an isolated community faces a demand and cost graph. Let us depict the publisher's consumer surplus, and dead weight loss created by the monopoly with the help of the provided graph:

Comment

### Step 2 of 3



Comment

### Step 3 of 3

Steps of Construction:

1. The above graph has been drawn in MS-Excel. In the word document, click on insert chart option. Then click on scatter diagram. Then select scatter diagram with smoothed lines options.
2. The chart and excel sheet will open. Insert the data for which you require the diagram. Write quantity demanded on X-axis and the data related to cost, revenue and price on the Y-axis.
3. Format and label the chart as per the requirement of the data using chart tools.
4. The marginal revenue curve has been drawn in the excel sheet using the data of demand and quantity to get total revenue. Then marginal revenue was calculated from total revenue. The values of marginal revenue were converted into cents values to bring uniformity of values in the graph.
5. The graph has been edited in MS Paint to fill colors to know the area of consumer surplus and dead weight loss. The picture has then been saved as a jpeg.

In the graph we notice that area A is the consumer surplus area that lies above the equilibrium price and below the demand curve. The Area B is the producer surplus area that lies above the cost curve and below the demand curve. The Area C is the dead weight loss area that lies beyond the profit maximizing output and below the demand curve.

Since this publisher is earning economic profits, so, this would encourage rent seekers in the market to enjoy these economic profits too, and, thus, would negotiate with the publisher.

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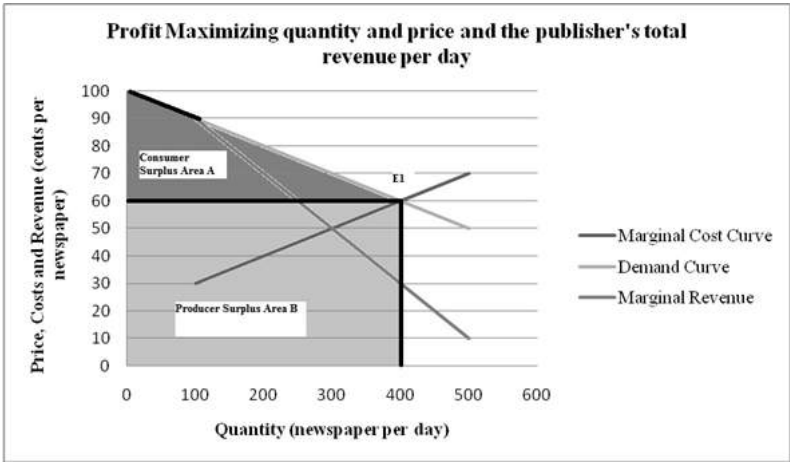
Step-by-step solution

Step 1 of 3

The publisher of the only newspaper containing local news in an isolated community is a single price monopoly. However, if this publisher was operating in a perfectly competitive market, then, its profit maximizing output, price and economic profit would be depicted at the point on the graph where marginal revenue equals marginal cost equals the price. This point is E1 on the graph. At this level, the price is fixed at 60 cents per newspaper and the profit maximizing output is 400 newspapers per day. The consumer surplus is area A that lies above the set price and rest all is producer surplus.

Comment

Step 2 of 3



Comment

Step 3 of 3

- Steps of Construction:
1. The above graph has been drawn in MS-Excel. In the word document, click on insert chart option. Then click on scatter diagram. Then select scatter diagram with smoothed lines options.
  2. The chart and excel sheet will open. Insert the data for which you require the diagram. Write quantity demanded on X-axis and the data related to cost, revenue and price on the Y-axis.
  3. Format and label the chart as per the requirement of the data using chart tools.
  4. The marginal revenue curve has been drawn in the excel sheet using the data of demand and quantity to get total revenue. Then marginal revenue was calculated from total revenue. The values of marginal revenue were converted into cents values to bring uniformity of values in the graph.
  5. The graph has been edited in MS Paint to fill show the profit maximizing output and price. The consumer surplus and producer surplus area have also been filled.

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Step-by-step solution

Step 1 of 10

a) AT&T is pioneer in the telecommunications market. Earlier it was following the unlimited data usage plan at \$30 a month. The usage of this plan was creating unnecessary network pressure on these lines thereby deteriorating the call quality. The customers were not happy with this plan and thus, the company felt uneasy about the thought of losing its goodwill and customers. Thus, the company came up with new plan where it will be charging its customers according to their usage. The data plan is tabulated as:

Comment

Step 2 of 10

| Data Usage (Gigabytes)                | Price (dollars per month)                                                |
|---------------------------------------|--------------------------------------------------------------------------|
| Up to 1 (mentioned as 0.195 GB/200MB) | 15                                                                       |
| 2                                     | 25                                                                       |
| 3                                     | 35<br>45 (After \$25 , the customer will pay \$10 per 55 extra GB usage) |
| 4                                     |                                                                          |
| 5                                     |                                                                          |

Comment

Step 3 of 10

- Steps of Construction:
- 1) The table has been constructed in MS-Word using table tools.
  - 2) Select rows and columns as per the data needs.
  - 3) Enter the data as provided in the question

Comment

Step 4 of 10

- This is purely price discrimination followed by AT&T. it will help the company in two ways:
- 1) Maintain the old customer base and also, attract new ones
  - 2) Reducing the network stress and improve call quality
- Thus, company would be able to maintain its goodwill and increase its market share.

Comment

Step 5 of 10

b) When the company was following \$30 unlimited data usage plan, its revenue graph would be based on perfect competition market graph where the firm's price equals its average revenue and marginal revenues. The demand and marginal revenue curve would be the same.

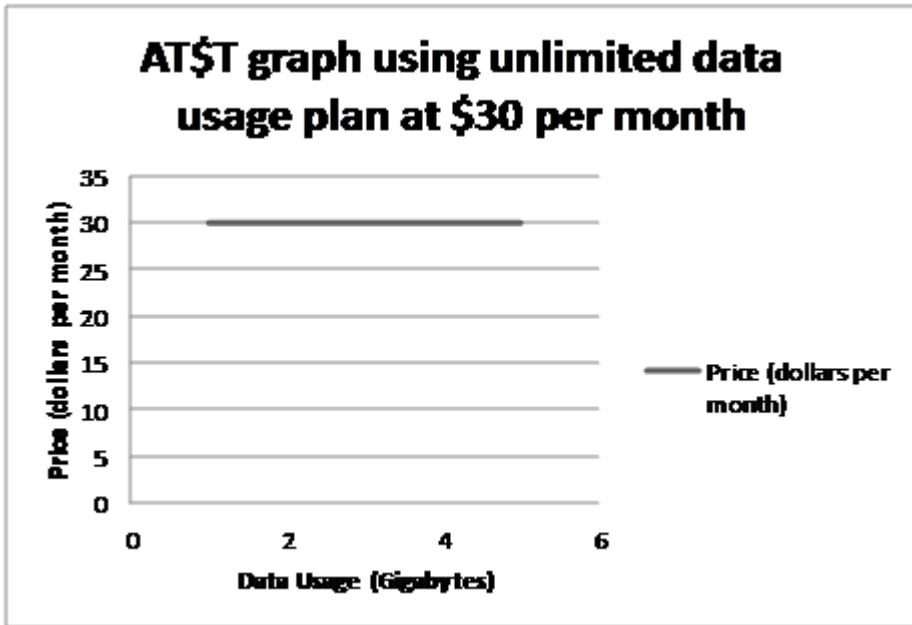
Comment

Step 6 of 10

| Data Usage (Gigabytes) | Price (dollars per month) |
|------------------------|---------------------------|
| 1                      | 30                        |
| 2                      | 30                        |
| 3                      | 30                        |
| 4                      | 30                        |
| 5                      | 30                        |

Comment

Step 7 of 10



Comment

Step 8 of 10

- Steps of Construction:
- 1) The table has been constructed in MS-Word using table tools and the graph has been prepared in MS-Excel using chart tools.
  - 2) Select rows and columns as per the data needs in table as well as in Excel sheet.
  - 3) Enter the data as provided in the question. For the graph as soon as you enter the table data in excel sheet, the chart would be created. For the graph use Scatter Diagram with Smoothed lines option.
  - 4) Label and format the graph as per the requirement.

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Chapter 13, Problem 21APA

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Step 9 of 10

With the firm thinking to start its new plans, the graph would be based on monopoly practice

| Data Usage (Gigabytes)  | Price (dollars per month) | Total Revenue | Marginal Revenue |
|-------------------------|---------------------------|---------------|------------------|
| 1 (0.2 GB approx/200MB) | 15                        | 3             | 3                |
| 2                       | 25                        | 50            | 47               |
| 3                       | 35                        | 105           | 55               |
| 4                       | 45                        | 180           | 75               |
| 5                       | 55                        | 275           | 95               |

AT&T Graph after new plan

This is an unusual case where we see the revenue increasing as the data usage.

Comment

Step 10 of 10

Steps of Construction:

5) The table has been constructed in MS-Word using table tools and the graph has been prepared in MS-Excel using chart tools.

6) Select rows and columns as per the data needs in table as well as in Excel sheet.

7) Enter the data as provided in the question. For the graph as soon as you enter the table data in excel sheet, the chart would be created. For the graph use Scatter Diagram with Smoothed lines option.

8) Label and format the graph as per the requirement.

Comment

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#### Chapter 13, Solution 14APA

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Chapter 13, Problem 22APA

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## Step-by-step solution

### Step 1 of 2

a) AT&T is the exclusive provider of wireless service for the iPhone. Thus, it is able to control the competition in the market and can easily influence the wire telecommunication market. However, the prices of its iPhone are higher and its quantity demanded lower, than it could have been in the competitive market.

[Comment](#)

### Step 2 of 2

b) A monopoly firm is the one who is the single seller in the market. Such a firm enjoys cost advantage and economies of scale in the market over its competitors. Such a firm can easily discriminate on its product and enjoy the economic profits. However, such firms also face the problem of dead weight, since they are not able to reach efficient level of output. Sometimes the firms charge prices that overlook social benefits. This is the case with wireless market also. Thus, there arises the need of regulating the monopoly market. The regulations will keep a check on the firm's activities as well as make the firms reach efficient output level. The problem of dead weight loss is resolved and there is more social benefit in the form of consumer surplus.

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## Recommended solutions for you in Chapter 13

Chapter 13, Solution 14APA

Chapter 13, Solution 21APA



Economics | (12th Edition)

Chapter 13, Problem 23APA

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Step-by-step solution

Step 1 of 4

The given case is about company G that has reached a settlement with EU regulators in a case. The EU regulators held company G guilty of misusing its monopoly power.

Comment

Step 2 of 4

a.

EU regulators are of the view that company G was misusing its monopoly power as they found the company guilty of violating EU antitrust rules.

Yes, one agrees with the EU regulators view that company G was abusing its market dominance by giving illegal advantage to its company's shopping services.

Comment

Step 3 of 4

b.

It would be inefficient to make company G charge the same price per keyword click to all advertisers as the current method used by company G based on willingness to pay and number of clicks on advertisement receives is efficient in itself.

Comment

Step 4 of 4

c.

The practice adopted by company G to sell the keywords to the highest bidders results in efficient allocation of resources as this practice allows company to achieve perfect price discrimination and snatch away all the consumer surplus by charging each customer according to his willingness to pay.

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a) AT&T is pioneer in the telecommunications market. Earlier it was following the unlimited data usage plan at \$30 a month. The...

See solution



# Economics | (12th Edition)

## Step-by-step solution

### Step 1 of 5

a) The cable television market is a natural monopoly. It is already enjoying cost benefits and economies of scale. Though F.C.C is regulating this market by allowing entry to other small firms, these firms will not be able to survive and face monopoly competition until they are able to produce same level of services and also reach cost advantage levels as that of the cable television market.

[Comment](#)

### Step 2 of 5

b) Monopoly power does not necessarily mean high prices. Prices can be high in a competitive market also where luxury goods are being sold like cars, precious stones, and so on.

[Comment](#)

### Step 3 of 5

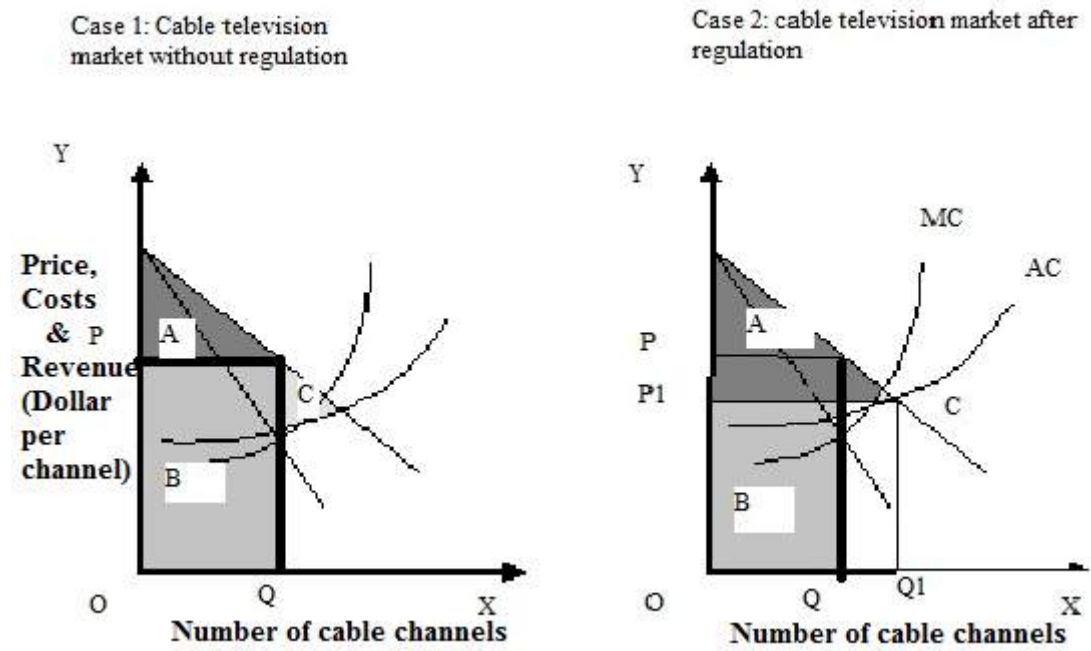
c) The effects of the F.C.C's new regulation on the price, quantity , total surplus and dead weight loss can be analyzed with the help of the graph:

In the graph below, it can be noticed that the price of the channel before regulation was P and the channels supplied were Q. The consumer surplus area is A, Producer Surplus area is B and Dead weight loss is C.

After the regulation of the cable television market, the market has become competitive. This competition has lead to reduction in the price from P to P1 and there is an increase in the supply of cable channels to Q1. Thus, the consumer surplus area has increased, producer surplus area has reduced and the dead weight loss has also reduced.

[Comment](#)

### Step 4 of 5



[Comment](#)

### Step 5 of 5

- Steps of Construction:
1. The graph has been drawn in Ms- Word using insert- shapes-new drawing canvas option.
  2. It has been formatted in MS – Paint as per the requirement of the answer and saved as jpeg.

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### Chapter 13, Solution 21APA

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Chapter 13, Problem 25APA

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## Step-by-step solution

### Step 1 of 2

a) Intel is not a monopoly in the chip market because it has a share of 80 percent in the market. The rest of the market share is held by Advanced Micro Devices. A monopoly firm does not have any completion. It is the single seller in the market.

[Comment](#)

### Step 2 of 2

b) The statement made by Intel "the fall in prices shows that this industry is fiercely competitive" is not justified. It is not only in competitive market that prices fall due to the presence of number of firms, but even a monopolist has to lower its product price to increase the quantitative sales of its product. This firm Intel belongs to the telecommunication industry. There are so many advancements that take place frequently in technology items that the prices of the outdated products automatically fall.

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### Chapter 13, Solution 21APA

a) AT&T is pioneer in the telecommunications market. Earlier it was following the unlimited data usage plan at \$30 a month. The...

[See solution](#)